

move by what we call ‘market force’. There is a finite number of stocks that are available to purchase, and if more people want to buy a stock of Apple than the number of shares available, the price of Apple goes up; if fewer people want to buy than the numbers of shares outstanding, the share price goes down.

Company earnings

Every three months companies release a report, known as ‘company earnings’, to say how their company has performed. They release financial statements that show their balance sheet (their assets and debts), their cash flow (how money moves within the company) and their income (how much money they made, how much they spent and what the bottom line is).

Company earnings are a bit like a report card, and you, the investor, decide if it’s satisfactory (see [figure 7.2](#)). Company earnings basically determine if investors pat themselves on the back and invest more into the company, or pull money out. Companies all release earning reports around the same time; they’re called earning seasons (a bit like exam periods).

A long-term investor, however, isn’t too fussed with earning season unless something fundamentally changes within a company. It can be confusing if a company performs well in its earnings report yet its stock price is dropping. After all, shouldn’t the stock price go up if the company is doing well? This is the beauty of the market. What distinguishes a speculative investor from an investor in training is that the former will react to what’s currently happening with the company, but the latter will react to the future outlook for the company. Rather than looking at company Y and thinking that if the value is going up currently it will continue to go up, investors in training take into account both the company’s performance and its future outlook, with its announcements of new products or ventures.